

05 PRACTICE PROBLEMS

Interoffice memo

Date: 6th September 2012
To: Sven Berg
Cc:
From: xxxxxxxxxxxxxx
Re: Conduct of fellow architect (PC1)

Executive Appraisal

There appears to me to be two scenarios that need to be addressed. The first is the situation where Mr Deladio is operating as contractor, architect and client. The reference to the fact that he charges 15% for his design services implies that he might still operate in a traditional architects role, charging his services to external clients. I will therefore assume that in this scenario he is acting as architect and contractor.

Generally the question is, what is the RIBA's and ARB's stance on situations where an architect might have a conflict of interest.

ARB Code of Conduct

ARB code is fairly broad on the subject. It simply states that a conflict of interest should be declared:

1.4 Where you make or receive any payment or other inducement for the introduction or referral of work, you should disclose the arrangement to the client or prospective client at the outset.

3.1 Where a conflict of interest arises you are expected to disclose it in writing and manage it to the satisfaction of all affected parties. You should seek written confirmation that all parties involved give their informed consent to your continuing to act. Where this consent is not received you should cease acting for one or more of the parties.

The implication in 1.3 appears to be that if all parties are satisfied with the arrangement and have expressly given their written consent, an architect is free to operate while occupying multiple roles. In terms of 1.4, As long as Mr. Deladio makes it clear to his clients that he has received "inducement for the referral of work" from the timber frame manufacture, he is operating within the rules of the ARB code.

6.4 of the code effectively states that a architect who is also acting as a contractor is no longer fit to act as contract administrator:

6.4 You should, when acting between parties or giving advice, exercise impartial and independent professional judgment. If you are to act as both architect and

contractor you should make it clear in writing that your advice will no longer be impartial.

Although it does not expressly state that contract administration in this circumstance is forbidden, a letter to a client to this effect is will probably be taken as an acknowledgement that a different contract administrator is required.

Are you aware of Mr. Deladio contravening any of these clauses? Is he acting as architect, contract administrator and contractor without the clients knowledge? Your memo does not indicate that he is in breach of these clauses, although it does not definitively exonerate him either.

RIBA Code of Professional Conduct

The RIBA code of professional conduct has some more detail on this matter. As you alluded to in your memo, the RIBA have recently elaborated on these parts of the code. I assume that this is because they recognise that more architects are beginning to diversify in a similar way as Mr. Deladio and they are trying to make their position on this more clear.

Points 1.1 of the code echoes the sentiments of ARB 3.1 in reiterating the architects obligation to act with impartiality:

1.1 Members are expected to act with integrity in all their professional and business activities. This means acting with honesty, fairness and impartiality at all times and not allowing oneself to be improperly influenced either by self-interest or the interests of others.

Clauses 1.5 and 1.6 focus on the architects duty to inform the other parties should a potential conflict of interest exist:

1.5 Members' personal, private, religious, political or financial interests should not conflict with their duties and obligations to their clients or employers (see GN7 Relationships). Should such a conflict arise it should be declared to the client or employer, and, if the conflict is unacceptable or cannot be resolved, the member should withdraw from the engagement or resign from the employment.

1.6 Members involved in any other business activity which might impact, even indirectly, on their practice of architecture, must declare that involvement to the client or employer before any contract is finalised. If the other activity is unacceptable to the client members should either withdraw from it during the engagement, or decline the commission; if the other activity is unacceptable to the employer, members must either withdraw from it during the employment or resign from/refuse to accept the job.

What we can conclude from these clauses is that as long as Mr. Deladio has made it perfectly clear to external clients, other consultants and sub-contractors that he is occupying multiple

roles, he is not in breach of the above codes. Nothing you have said in your memo gives me a reason to think that he has failed to do this. If you happen to know otherwise and you suspect that he is concealing that information from other parties, you may wish to either remind him of his duties, or even report him to the ARB and RIBA.

The above RIBA clauses have been fairly general, but 1.7 is more specific. This clause is new to the 2011 code:

1.7 Members must not undertake any architectural functions which require independence and impartiality (such as the issue of Architect's Certificates) if they are connected to the contracting party.

Reading between the lines, this clause forbids an architect from acting as a contract administrator if they are connected with the contractor. Because this is expressly written and no exception given, I would assume that this is still forbidden even if you have satisfied all the previous clauses listed above. That is to say, even if you have declared your conflict of interest and employer is happy with that arrangement, the architect can still not be a contract administrator in Mr. Deladio's situation.

As I have already discussed regarding ARB clause 6.4, if he is currently acting as contract administrator, as well as architect and contractor, perhaps you could politely point him towards this clause in the code and suggest to him that he makes arrangement for an independent third party, to act as CA in future. If he continues to act as contract administrator despite this (even if he believes he is performing this duty in an exemplary manner), you may feel the obligation to report his actions to the RIBA.

RIBA and ARB Logos

On the subject of him using the RIBA and ARB logos on his brochure, this is absolutely fine, provided he is a qualified architect and his practice, Gerdemup Design Associates, is fully chartered. Again, there is nothing in your memo to suggest that this is not the case.

You do mention that he operates "alongside" a timber frame manufacturer. As long as his practice is a separate legal entity to that of the timber frame manufacturers, this is not a problem. It is perfectly acceptable for architecture practices to forge close working relationships with suppliers. If however the two companies have merged in some way, this could be a problem. In order to be a RIBA chartered practice, it must comply with the following criteria:

- At least one of the full-time principals (Director or Partner) in the architects' practice must be a Chartered Member of the RIBA.
- All architectural work must be under the supervision of a Chartered Architect.
- At least 1 in 8 of all staff employed in the architect's practice must be a registered architect (on ARB register) or chartered architectural technologist (CIAT member) with RIBA Affiliate membership,
- At least 1 in 10 of all staff employed in the architect's practice must be a Chartered Architect (i.e. chartered RIBA member).

If he fails to meet any of the above criteria, his membership may be invalid.

Conclusion

The code aside, I would just like to express my personal opinion on your friends situation.

I think the fact that your friend is making a good profit is something to be applauded, not derided. Assuming that he has relinquished his contract administrator role to an independent building professional, I see no problem in his company acting as architect and contractor for external clients. I am sure many clients will appreciate having one company to undertake the design and construction of their development, offering them a streamlined service.

If the employer is satisfied with the service and product they are purchasing, and they have entered into the contract wilfully, with full knowledge of the process, then I fail to see where the problem lies. The fact that he has managed to win new work through building mutually beneficial relationships with suppliers is simply good business sense (provide of course he is at no point deceiving anybody, which I see no evidence of). If the timber frame company are willing to give him work and possibly discounts on his own materials when he is acting as a contractor, this is their prerogative. After all, they are free to decline his offer if they believed the price Mr. Deladio is offering to be too low, just as the client is free to decline the his services if he believed his 15% fees are too high.

Interoffice memo

Date: 5th September 2012
To: James Nobel
Cc:
From: xxxxxxxxxxxxxxxxx
Re: King's Lane Mixed Used Development (PC2)

Hi James,

Please find below my list of actions and my assessment of our position:

1. Notify professional indemnity insurers

Our first course of action is to inform our insurers of the situation. In a situation where there is a possibility that we could face legal action, our PI insurers should be contacted immediately.

2. Retrieve document files from our archives

As suggested in the letter, we will need to find the collateral warranties to see what the terms of it/them were. We also need to have the main contract, contract documents and terms of appointment ready for inspection.

3. Establish if there is a claim at all

If we have designed the walls and floors to satisfy both building regulations (part E is applicable in this case) and the clients brief, and they have been built in accordance with our drawings, this may be an issue for the developer and the tenant to sort out between themselves. The building has been occupied for several years and as far as we are aware, this is the first complaint regarding acoustic performance. This could simply be the case of over sensitive tenants/purchasers.

4. Establish if there is a potential claim against us

Of course it is a possibility that we have not designed these walls and floors correctly. We need to carefully examine the relevant contract documents (the specification and the drawings) and check them against the statutory requirements of the time and the clients brief to ascertain if the levels of acoustic insulation/performance we have provided are satisfactory. I am optimistic that we are not to blame. Not just because I have faith in our rigour and thoroughness as designers, but also because even if we did design the partition walls and floors with inadequate acoustic performance, I would be surprised if building control would have missed that too.

If it transpires that we are at fault, we will be liable as it is well within the 6 year minimum liability period as set out in the limitation act, 1980. I would recommend that we contact our solicitors if we reach this stage.

The letter implies that collateral warranties exist between the tenants and the contractor, but did we and the other consultants enter into a collateral warranty with the tenants/purchaser? If so, the tenants may pursue us for damages directly if it transpires that we have made an error. If not, it is more likely that they will pursue the developer for our mistake and they will in turn pursue us. Either way, we could be vulnerable.

Did we have any specialist sub-consultant input from an acoustic engineer? If so, we should carefully examine their reports to see what they recommended and whether or not we have complied. If we did and we can prove it, it may be the case that the tenants pursue them for any claim that they have, especially if a collateral warranty exists between them.

5. Establish if there is a potential claim against the contractor

If we are satisfied that the contract documents show a sufficient level of acoustic performance in the partition walls and floors, and we can prove that we have exercised due care and diligence when designing them, it may be the case that the contractor is at fault. If they had failed to construct the walls and floors in accordance with the contract documents, or if this was a contractor design portion, the liability lies with them. If it transpires that this is the case, there is an obvious problem for anyone wishing to pursue claims against the contractor – they are no longer trading.

However this does not necessarily mean that they cannot be pursued for damages. If they were a form of company which had unlimited liability (a partnership or a sole trader for example), the individuals who owned the company could be pursued for damages. (Please note that while I am happy to make suggestions privately on this topic, it is beyond our professional expertise to make recommendations about how to pursue other companies or individuals with legal action. If the tenants or the developer wish to pursue the contractor, I strongly suggest they seek legal counsel)

Interoffice memo

Date: 5th September 2012
To: Belinda Carter
Cc:
From: xxxxxxxxxxxxxxxx
Re: Residential Home at Thelwall Grange, Waddington (PC3)

Hi Belinda,

I received your memo about the residential care home at Thelwall Grange.

It looks like a brilliant opportunity for the practice. I have attached a draft letter to the potential clients for you to review. There are just a few thoughts I wanted to share with you first.

The fact that the clients wish to embark upon a large project despite having no previous experience of development raises questions about their ability to handle such an undertaking. Also the fact that they have recently suffered potential financial hardship raises questions as to whether they are able to fund this project.

Both these issues could adversely affect the practice as we could be at risk of either spending too much of our time holding the clients hand or we could be at risk of not receiving monies owed to us, or both.

I do not wish to sound negative, I just want to exercise some caution for both the clients and the practices protection.

Generally this is positive news. It is always great to have new and exciting clients to work with.

Having said this, we know too little about them or the site to make any decisions yet. I propose that we take the following actions:

- Set up a site meeting
 - o This can be a good opportunity for us to meet the client and see the site.
 - o We can ask questions about the site, their situation and finances.
 - o It is important that we manage their expectations at this point and keep them grounded, whilst not dampening their enthusiasm.

- Carry our client risk evaluation matrix
 - As you know, we use this to help us make a decision on whether or not a new client is worth taking on.
 - It helps us to use qualitative, objective data to inform our decision, so we are not relying purely on our own intuition (which as we know is not always 100% reliable on its own)
 - I know times are hard and we are keen to get work, but we have to remember that the implications of getting involved with a unreliable client can be more costly than having no work at all!
- Feasibility report
 - If, after careful analysis we decide that this has some potential, I propose we have offer to conduct a feasibility report.
 - Only at this stage would we begin to examine the planning implications, the cost, the site issues etc.
- Planning applications and beyond
 - If after a thorough and rigorous feasibility report the client are willing to continue, we can then offer our services for stages B-L, including a full planning application.

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5th September 2012

Thelwell Grange,
Waddington,
WA4 9PA

For the attention of: **Mrs. A. Carer**

RE: Residential Home at Thelwall Grange

Dear Mrs Carer,

Thank you for your recent enquiry regarding the development of Thelwall Grange nursing home. This sounds like an exciting opportunity and we are certainly interested in helping you to develop this further.

As you know we have extensive experience in this sector and look forward to bringing our years of expertise to this project.

I would like to take this opportunity to briefly talk you through the likely process between now and submitting a planning application.

- **Developing a brief**
 - o If you decide that this scheme is indeed financially and practically viable, we can begin to develop a detailed brief for the project. This is a vital stage of the process as it established the design parameters within which we will work.
- **Scheme/concept design**
 - o This is the period of the design process where we begin to explore what our design options are. This typically involves establishing a series of

Question 3

outline options that we can test and evaluate so that we can begin to narrow down the best solution for the scheme.

- **Design development**

- By this stage, we will hopefully have decided upon a preferred outline option via a rigorous analytical process. This stage is where we begin to build up the level of detail in the proposal.
- Eventually, we will bring the design to a point where we can begin to have discussions with planning officers. Their input and recommendations are key as it is ultimately they (or the councillors should the scheme go to committee) who grant the scheme permission to be built.

- **Planning**

- Once both you and hopefully the planning officers are satisfied with the proposal, we will prepare a full planning application. The extent of the application will depend on a number of factors, some of which I discuss below. The minimum that will be required will be a set of drawings showing the existing and proposed schemes, a design and access statement, an application form and some other bits of documentation. Please note that there will also be a fee involved to submit a planning application.
- Once the planning application has been submitted, the process typically takes 8 weeks. This could be more if the scheme is deemed to be controversial. In this case it is likely that the application will go to committee. This means that the decision will be taken out of the planning officers hands and will instead be made by the elected councillors.
- If the application is successful, you will be granted planning permission. Usually this will come with conditions of discharge. The planning approval is valid for 5 years from the date consent is granted. If the application is unsuccessful, you will have the right to appeal.

We currently have very limited information about the project and the site. We would like to arrange a meeting as soon as possible so that we can obtain some more information. This will allow us to make some early evaluations about the feasibility of the scheme and understand some of the potential hurdles you may face.

We note your requirement to provide at least 20 care homes. It is important for us to examine whether or not this will be viable on your site. There are several factors that could limit your ability to provide this:

- Is the site in a conservation area, or an area of outstanding natural beauty?
 - If so, there may be limitations on what you can build and demolish. Anything that you do build may have to conform with stringent design criteria to protect the character of the area.
- Is the existing building listed?
 - If so, any alteration to the existing building – external or internal – will require specific approval from the planners. Also, the surrounding land may come under the curtilage of the buildings listed status which may prevent it from being developed.
- Is the site large enough to provide that number of dwellings?
 - Will the new buildings/extension fit on the site?

Question 3

- Will there be enough room for the additional parking and access?
- Is the scheme financially viable?
 - Do you have a suitable budget for such a development
 - How will the project be financed?

This is an exciting time for you and your husband and we look forward to helping you realise this projects potential. We just want to take care to ensure that your hopes and aspirations for the project are indeed obtainable before we commence full design services.

Please let us know when would be a good time for us to meet to further discuss issues raised in this letter and to show us around the site. Once we have established some more details, we can move forward from there.

Yours sincerely,

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For and on behalf of
NDG Architects Ltd

Interoffice memo

Date: 5th September 2012
To: Belinda Carter
Cc:
From: xxxxxxxxxxxxxxxxxxxx
Re: Potential New Housing Development on Former Bus Depot Site (PC4)

Hi Belinda,

Please find attached the programme, hourly rate calculation and the resources per stage for this project that you asked me to prepare.

As you can see, I have arrived at a fee of **£156,622 + VAT (7.32% of construction value)** for the full architectural services.

As you mentioned in your memo, things are tight at the moment and it is imperative that we win this job. I have therefore proposed what I consider to be a skeletal team – the bare minimum that we will need to deliver the project to the standard that we and our clients expect.

Although I am aware of other firms going lower than 7.32% of construction value for a job like this, I do not think that this will be viable for the practice. Our profit margins are already very tight and this figure already doesn't account for any contingency – it does not take much for our slim profits to be eaten away entirely.

It is very important that should this fee bid be accepted, we very clearly specify exactly what we are to provide for our fee. This will make it much easier to claim additional fee when our scope creeps and we are required to do additional work. If we wish to protect our profit margins, this is a vital step to take.

I understand that we face stiff competition from another firm that the client has worked with previously, but if we want to win this work ahead of them, slashing our fees to suicidal levels is not the way to do it.

We are an award-winning practice and we should remain confident that we can convince the client that we represent the best value for money.

In the draft letter, you will see that I have included some suggestions to the potential client about how we can save money by streamlining the procurement and construction process. In my previous practice I have worked on projects that have used two-stage tendering to great effect. This could offer them a great opportunity to begin selling/leasing the units as early as possible.

Another thing to note is that I have front-loaded the fees for the project. The breakdown that I have given ensures that we will earn 50% of our fee by the planning application. This will help to ensure that we secure the payments early, mitigating the risk of the project being paused or abandoned part way through.

I have also arranged for the payments to be in monthly instalments to keep cash flow ticking over.

Cash Payments

In terms of accepting cash for the payments, this is not illegal in itself, provided we ensure that we declare the money to the inland revenue. I have checked with the inland revenue that this is acceptable. They require businesses that receive cash payments in excess of 15,000 euro (£12,000 approx.) to sign up to their "high value dealer" register. However, because we are being paid for services as opposed to goods, we are not obliged to do this. See the HMRC website for more details: <http://www.hmrc.gov.uk/mlr/getstarted/register/hvd.htm>

Even though it is legal for us to accept cash payments, it does raise some very serious questions. Why has the client got so much cash? Why have they not put it into a bank account? Paying in cash can be a method of avoiding a paper trail, something that is very desirable if the cash has been obtained by illegal means. Large sums of cash can sometimes be a warning sign that criminal activities such as drug dealing, money laundering or counterfeiting are the source of the money. A cash economy is also useful for people who wish to avoid the detection of the inland revenue so that they can avoid paying their taxes.

Another problem that we would encounter should we accept such large payments of cash is that it is not secure. Are we insured to store such quantities of cash? Do we have adequate storage facilities for large amounts of cash, such as a safe, in the office? How would we transport the money to the bank? Would it be safe for an employee to carry the cash to the bank in public? Would we need to hire a secure collection company (such as G4S) to take the money to the bank for us? It is likely that the bank would want to know why we were depositing such large sums of cash into our business account. They may feel obliged to ask us where it came from.

Generally, it is very wise for us to objectively evaluate clients that we will potentially be working with. I would recommend the following criteria to be considered

- Do we know this client?
- Have we ever worked with them before?
 - o If so, how successful was the working relationship
 - o How successful was the final building?
 - o How successful was the job for the practice financially
 - o If no, do we know other practices that have?
 - o Have they produced successful buildings with other practices
 - o Can we contact previous practices to gain recommendations or references?
- Do we know where they have obtained the funds to carry out this project?
- Can we find out any information about the client in the press?
 - o Is there any negative information or news about them
 - o Is there any accusations or evidence of nefarious or criminal activity surrounding this client
 - o Do they have previous CCJ's
 - o Are they credit black listed?
 - o Have they recently been in charge of a company that has been liquidated
 - o Have they ever been bankrupt

By gathering as much information as we can about a potential client, we can begin to form a more accurate picture of them which will allow us to make an informed decision about whether or not accept their commission.

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5th September 2012

Iffy Developments,
5 Burlington House,
Madchester,
MA3 9PA

For the attention of: **Iffy Developments**

RE: Potential New Housing Project on Former Bus Depot Site (PC4)

Dear Sir,

Thank you for your interest in using NDG architects. I am please to offer you our fee proposal for the potential new housing project at the former bus depot.

In order for NDG to carry out full architectural services from stages A-L, our fee will be **£156,622** + VAT (7.32% of the contract sum of £2,140,000).

Please see below a table with the breakdown of how we would expect the fees to be paid:

Total Contract Value	£2,140,000.00
Fee (%)	7.32%
Fee (£)	£156,622.00

RIBA Job Stage	% paid per job stage	Fee to be paid
A-C	25%	£39,155.50
D	25%	£39,155.50
E	10%	£15,662.20
F-G	20%	£31,324.40
H-L	20%	£31,324.40
TOTAL	100%	£156,622.00

Question 4

We would expect payments to be made monthly, with the sum per month calculated according to how many months work are anticipated per work stage.

Here is a general break down of the documentation that we would normally produce at each stage of the process:

Stage A:

Establish Brief

Stage B:

Feasibility report

Stage C:

Concept design options

Stage D:

Existing and proposed of the below:

Site Plan

Plans

Elevations and Sections

Prepare planning documentation (design access statement, planning report, visualisations)

Stage E - outline detailed design:

General arrangement drawings: 1:500 – 1:100

Plans

Sections

Elevations

Assembly drawings: 1:50-1:20

Plans

Sections

Elevations

Reflective ceiling plans

Stage F – production information:

Component drawings: 1:10 – 1:2

Plans

Sections

Elevations

Typical details

Schedules

Stage G – Tender documentation

Shortlist tenders

Prepare documentation for tender

Pre-tender cost estimate

Finalise Bills of Quantities

Question 4

Stage H-L

Mobilisation

Contract administration

In addition to this, please be aware of other services that you may require:

- Structural Engineer
- Mechanical Engineer
- Electrical Engineer
- Party Wall Surveyor
- Quantity Surveyor
- Audio Visual Lighting consultant
- Planning application
- Building control application

Please note NDG provide none of the above services and the cost of these services is not included in our fee. Our fee does not include expenses such as dismemberments and travel. These costs will be required in addition to the fee stated.

We have noted that you are keen to start on site as soon as possible. We therefore think it could be a good idea to discuss with you some alternative types of procurement route that you may not have previously considered. Some of these, such as two-stage tender, are designed to allow site works to commence as soon as possible, reducing the length of the project thus allowing you to sell/lease the housing units sooner. This could be a great way for you to save time and money on this project. At NDG architects we have experience of this procurement method and could help to guide you should you choose to use it.

If you would like to further discuss procurement or any thing else mentioned in this letter, please don't hesitate to contact us at any time.

Looking forward to hearing from you soon.

Yours Faithfully,

XXXXXXXXXXXXXXXXXXXX

For and on behalf of

NDG Architects Ltd

Hourly Rate Calculation

Assumptions	
Hours per Year	1,700
Hours per Day	7.5

Staff Member	Basic Salary (£)	NI Insurance Cost direct cost	Overheads	Total Cost of Employment p.a. (Salary+NI+Overhead)	Cost per fee earning hour (based on 1700 hours p.a.)	Hourly Rate incl. profit Margin @	Total Income per employee
		13.80%	100.00%			20.00%	
James T. Noble Director	£52,000	£7,176	£52,000	£111,176	£65.40	£78.48	£133,411.20
Belinda C. Carter Director	£52,000	£7,176	£52,000	£111,176	£65.40	£78.48	£133,411.20
Michael Hart Associate Director	£36,000	£4,968	£36,000	£76,968	£45.28	£54.33	£92,361.60
Sue Allen Associate Director	£36,000	£4,968	£36,000	£76,968	£45.28	£54.33	£92,361.60
Dareem Patel Architect	£33,000	£4,554	£33,000	£70,554	£41.50	£49.80	£84,664.80
Sven Berg Architect	£33,000	£4,554	£33,000	£70,554	£41.50	£49.80	£84,664.80
Thomas Hjeltnes Architect	£31,000	£4,278	£31,000	£66,278	£38.99	£46.78	£79,533.60
Renata Wang Architect	£31,000	£4,278	£31,000	£66,278	£38.99	£46.78	£79,533.60
George Gee Architectural Technologist	£27,000	£3,726	£27,000	£57,726	£33.96	£40.75	£69,271.20
xxxxxxxxxxxxxxxxxx Architectural Assistant	£23,000	£3,174	£23,000	£49,174	£28.93	£34.71	£59,008.80
Olga Poulicek Architectural Assistant	£23,000	£3,174	£23,000	£49,174	£28.93	£34.71	£59,008.80
Mark Jones Technician	£21,000	£2,898	£21,000	£44,898	£26.41	£31.69	£53,877.60
Liv Grosfjelt Year Out Student	£14,000	£1,932	£14,000	£29,932	£17.61	£21.13	£35,918.40
Sara Smitt Year Out Student	£14,000	£1,932	£14,000	£29,932	£17.61	£21.13	£35,918.40
TOTAL	£426,000	£58,788	£426,000	£910,788	£535.76	£642.91	£1,092,945.60

Notes:

(1) Number of fee earning hours based on a 5-day week, 7.5-hour working day, 20 days paid holiday, 8 days paid public holiday, and 5 days sick leave on average (1,700 hours per year)

(2) Overheads includes salaries of admin staff, PI insurance, time spent on admin and training and all other non-project related running costs of business

* Template and notes created with study group E

PROJECT: Potential New Housing Project on Former Bus Depot Site (PC4)

RIBA Job Stage	Staff Member	Total Days	Hourly rate	Day rate	Cost
A :Appraisals	James Nobel	4	£ 79	£ 593	£ 2,370
	Dareem Patel	4	£ 50	£ 375	£ 1,500
	xxxxxxxxxxxxxxxx	10	£ 35	£ 263	£ 2,625
	Total per stage				£ 6,495
B: Strategic Brief	James Nobel	4	£ 96	£ 720	£ 2,880
	Dareem Patel	10	£ 37	£ 278	£ 2,775
	xxxxxxxxxxxxxxxx	10	£ 32	£ 240	£ 2,400
					£ 8,055
C: Outline Proposals	James Nobel	10	£ 133	£ 998	£ 9,975
	Dareem Patel	20	£ 52	£ 390	£ 7,794
	xxxxxxxxxxxxxxxx	20	£ 31	£ 235	£ 4,709
	Total per stage				£ 22,478
D: Detailed Proposals	James Nobel	4	£ 133	£ 998	£ 3,990
	Dareem Patel	20	£ 52	£ 390	£ 7,794
	xxxxxxxxxxxxxxxx	20	£ 31	£ 235	£ 4,709
	Sara Smitt	20	£ 22	£ 165	£ 3,300
Total per stage				£ 19,793	
E: Final Proposals	James Nobel	2	£ 133	£ 998	£ 1,995
	Dareem Patel	20	£ 52	£ 390	£ 7,794
	xxxxxxxxxxxxxxxx	20	£ 31	£ 235	£ 4,709
	Sara Smitt	20	£ 22	£ 165	£ 3,300
Total per stage				£ 17,798	
F: Production Information	James Nobel	2	£ 133	£ 998	£ 1,995
	Dareem Patel	20	£ 52	£ 390	£ 7,794
	xxxxxxxxxxxxxxxx	20	£ 31	£ 235	£ 4,709
	Sara Smitt	20	£ 22	£ 165	£ 3,300
Total per stage				£ 17,798	
G: Tender Documentation	James Nobel	0	£ 133	£ 998	£ 0
	Dareem Patel	4	£ 52	£ 390	£ 1,559
	xxxxxxxxxxxxxxxx	10	£ 31	£ 235	£ 2,354
Total per stage				£ 3,913	
H: Tender Action	James Nobel	0	£ 133	£ 998	£ 0
	Dareem Patel	2	£ 52	£ 390	£ 779
	xxxxxxxxxxxxxxxx	4	£ 31	£ 235	£ 942
Total per stage				£ 1,721	
J: Mobilisation	James Nobel	4	£ 133	£ 998	£ 3,990
	Dareem Patel	4	£ 52	£ 390	£ 1,559
	xxxxxxxxxxxxxxxx	4	£ 31	£ 235	£ 942
Total per stage				£ 6,491	
K: Construction to Practical Completion	James Nobel	5	£ 133	£ 998	£ 4,988
	Dareem Patel	50	£ 52	£ 390	£ 19,485
	xxxxxxxxxxxxxxxx	104	£ 31	£ 235	£ 24,484
Total per stage				£ 48,957	
L: After Practical Completion	Dareem Patel	5	£ 52	£ 390	£ 1,949
	xxxxxxxxxxxxxxxx	5	£ 31	£ 235	£ 1,177
	Total per stage				£ 3,126
Total Cost					£ 156,622

Assumptions made: 7.5 hour day, 12 Month rectification period

Estimated No of site visits:

CONTRACT SUM
ARCHITECT'S PERCENTAGE OF CONTRACT SUM
FEE

£2,140,000
7.32%
£156,622.00

* Template and notes created with study group E

Question 4 - Fees Per Stage

RIBA work stages			
Stage A - Appraisal			
1	2	3	4
Stage B - Design Brief			
Stage C - Concept			
Develop outline proposals			
Stage C Report			
Stage D - Design Development			
Prepare Detailed Proposals			
Prepare Cost Plan			
Consult Statutory Authorities			
Prepare planning application			
Planning Submission			
Planning Decision Period - nominal 8 weeks			
Stage D Report			
Stage E - Technical Design			
Prepare technical design			
Revise cost plan			
Consult Statuary Authorities			
Advise on Programme			
Stage F - Production Information			
Prepare Detailed Information			
Building Regs submission			
Prepare schedules / spec			
Stage G - Tender Documentation			
Shortlist tenders			
Prepare documentation for tender			
Pre-tender cost estimate			
Finalise Bills of Quantities			
Stage H - Tender Action			
Tender Period			
Report on Tenders			
Revise production information			
Stage J - Mobilisation			
Appoint Contractor			
Statutory Notifications			
Mobilisation			
Stages K to J - Construction			
Contract Period			
Practical Completion			

Key:

- Active billable time
- Mostly inactive, non-billable time
- Construction

Interoffice memo

Date: 14th March 2012
To: Belinda Carter
Cc:
From: xxxxxxxxxxxxxxxx
Re: Hotel Development at Liverpond (PC5)

Hi Belinda,

I have had a look at the letter. Please find my thoughts outlined below:

- a) The danger for the employer is that there may be a scenario during the full contract negotiations whereby the two parties disagree fundamentally and the employer wishes to terminate the contract. This scenario may be unlikely (the contractor should have been made well aware of the main terms of the contract in the tender documents), but it is something that should be considered.

If this situation did arise, the current wording of the letter of intent may indicate that terms for terminating the contract are as per the JCT DB 2011. The terms for termination in this contract are fairly robust and this might prove difficult at such an early stage of the project.

Therefore I suggest that a clause is added to the letter that gives the employer the ability to terminate the agreement at short notice (7 days perhaps) and which clearly outlines how the contractor would be compensated in that eventuality (the QS will make a valuation of the goods that have already been procured and the employer will pay the contractor accordingly). It should clearly stipulate that any monies due to the contractor will be capped at the amount authorised in the letter (£50,000 in this case.)

I also think that the clause regarding payment terms is far too vague. This is a common cause of disputes and there is no harm in expressly stating the exact method of calculating payments

It might be prudent to include a clause that expressly stipulates the items in the contract that are not yet decided, otherwise the contractor may assume that the default values in the JCT DB 2011 are being used. For example, the default rectification period is stated as 6 months in the contract, whereas you may wish to make it 12. Either expressly state in the letter of intent that the rectification period is 12 months, or state that this is to be decided if you are still not sure.

- b) It would be preferable for the letter of intent to be replied to, but the very fact that the employer is commencing works can be deemed to be an "intention to create legal

relations", which can signify the formation of a contract (Architects Legal Pocket Book, pg.200)

- c) The letter clearly states that the contract will be carried out in accordance with JCT DB 2011. Unless the employer states otherwise in this letter (see my comment in answer a)), the method of calculating interim payments is by a valuation of the works carried out each month. If no works have been undertaken, the employer/employer's agent can enter a value of £0 for the interim certificate. Even if the employer/employer's agent forgets to issue an interim certificate and the contractor issues a interim payment notice, the employer still has the power to issue a payless notice. In this he can clearly state the method of calculation of the (no work carried out = £0).

However, I do think that it would be fair to agree that the contractor would be compensated for any goods or material that they have procured, but not assembled, should the letter of intent and the subsequent contract be terminated before works commence. If the terms of this liability are spelt out clearly in the letter of intent (see my comments in answer a)), the room for disputes over this issue will be diminished.

- d) When the client submitted their tender documents – an invitation to tender – this was considered an invitation to negotiate (Architects Legal Pocket Book, pg. 204). When the tender from the contractor was received by the client, this could be considered an offer. The letter of intent going back to the client can therefore be considered an acceptance of that offer, provided the terms in the letter are the same as those in the tender. If they are different, this will not be considered an acceptance of the offer, but a counter-offer as part of a negotiation (Architects Legal Pocket Book, pg. 205).
- e) If the contractor receives the letter of intent and it qualifies as an acceptance of their tender (see above), then a contract will have been formed. They would therefore be obliged to begin works as agreed in the tender documents, their tender bid, and the letter of intent.

The key question here is the time scale stipulated in the letter identical to that stipulated in the tender documents and the tender bid?

If it is different, the letter of intent will be seen as a counter offer and not an acceptance.

Interoffice memo

Date: 6th September 2012
To: Sue Allen
Cc:
From: xxxxxxxxxxxxxxxxx
Re: Comfy Cottages: a brief report exploring the possibilities of sustainable developments (PC1)

Introduction

There is an overwhelming amount of literature available about Code for Sustainable Homes (CFSH), so allow me to briefly summarise some of the key principles, before suggesting how this is applicable to comfy cottages' development.

CFSH started out as an attempt to raise the quality gap in terms of sustainable design and construction. The code is split into 6 different grades where level 6 is a Carbon neutral in-use house. Certain features carry a certain number of credits. The credits of the various features of the project are added together, to give a final score which determines the grade awarded to the building or development. The more commonly aspired to levels are 4 and 5, which have the same construction requirements as 6 but less renewable energy requirements. The present day needs of the CFSH has been drastically reduced so that the required level is level 3 which is simply a performance of house design that meets the current building regulations level of fabric performance.

In my opinion, if you are serious about "leading the field" in terms of ecological development, then you would be at least be trying to meet level 5.

The principles of CFSH

The performance of new homes is divided into 9 categories; energy and carbon dioxide emissions; water use; Materials; surface water run off; waste; pollution; health and well being; management; ecology

The essence of the CFSH design is referred to as "fabric first" which means that the major input is to make sure that the outer envelope works in the most energy efficient manor so requiring the house to use the least amount of energy for the maximum comfort. This comes back to fundamental design principles such as orientation of the building, optimised natural ventilation and good detailing to ensure the building is well insulated and sealed. When compared to expensive renewable technologies it is

relatively cheap to achieve these things, and they can arguably make the biggest difference to the performance of the building. What's more, these are principles of good design generally, not just in terms of sustainability. By getting these principles right, you will be satisfying your requirements for comfort and low carbon simultaneously - low carbon and optimum comfort are by no means mutually exclusive.

On top of this, the design requires the least amount of material resources such as water and building materials to run the house. So low use taps and washing machines should be specified, and all construction materials have to be green guide level A or B before they can be used.

Renewable technologies

You then might wish to consider renewable energy sources to locally provide energy for the homes. These are expensive, but would benefit from economy of scale due to the size of your development. I am sure you be well aware of many of the products available – photovoltaic cells, wind turbines, ground source heat pumps and so on.

For the development of 25-30 homes you have in mind, you may wish to consider a Combined Heat and Power unit (CHP).

Because you have a large number of dwellings, a CHP could be very effective. This is essentially a very small power station within the complex that generates both electricity and hot water/central heating to the homes. This is beneficial in several ways:

- By generating electricity locally and thus avoiding the need to transport it vast distances via the nation grid, the process is far more efficient. The US environmental protection agency suggests that a typical natural gas powered CHP has an efficiency of up to 75% for the creation of useful energy. To put that into perspective, a typical coal-powered power station operates at 33% efficiency. (<http://www.epa.gov/chp/basic/methods.html>)
- In a conventional power station, hot water is a by-product of the electricity generation process (which incidentally can cause ecological problems when returned to natural water systems such as rivers). In a CHP, the heat used to create electricity is used to heat the homes that it serves, instead of being wasted.
- The CHP can be run on bio-mass or natural gas – far cleaner than coal that is still used in some power stations.

The next band of credits is dependant on the impact of the homes on the environment. With a scheme of this size, you could consider a communal recycling facility on the site. This would make it easier for your residents to recycle effectively and could reduce the

developments contributions to land fills. Organic waste products could be kept on the site, perhaps to be used as compost on communal gardens. This could in turn provide an opportunity for residents to grow their own food which reduces food miles.

On site food production would also count towards another category, health and wellbeing. This also includes factors such as amounts of daylight in the house, good sound insulation levels, and lifetime homes standard which is a way of making sure the house can be adapted and changed over its lifetime to, for instance, be modified for older persons to live in it with the inclusion of a lift.

Conclusion

This has been a very brief overview that barely scratches the surface, but I hope it has given you a clearer insight into the issues that exist. Sustainability is totally compatible with comfortable, exciting design and is a concept that should inspire rather than intimidate or overwhelm.

DNG architects look forward to working with you on this development in the future. Please do not hesitate to contact me directly if you wish to discuss anything mentioned in this report in more detail.

Interoffice memo

Date: 6th September 2012
To: James Nobel
Cc:
From: xxxxxxxxxxxxxxxx
Re: Ova Developments – Proposed Nursing Home (PC2)

Offer from Age Old Homes

- Although the suggestion of “costs + 25%” could have worked for us, if our fee is capped at £20,000 (I am assuming that you mean £20,000 in total), there is no way that this could possibly work for NDG. This would equate to 1.3% of the construction value and we would almost certainly make a significant loss on the project. If we did somehow manage to break even, it would be at the expense of the quality of our work as we would be desperately under resourced. This could be dangerous in terms of mistakes leading to claims against us, and in terms of our reputation as a top design firm.
- Further to this, Paddy’s revelation that he would only be able to pay us at the end of PC would also be completely unacceptable for us. This would be terrible for cash flow and would leave us working massively at risk for almost the whole project (imagine if they pulled the plug on the project at tender stage – we would have worked for months for nothing!).
- To be clear, it is my conclusion that there is absolutely no way we can accept this job on these terms.

Are we at risk?

- Once that fee proposal email was sent to the client, we were put in a vulnerable situation. That could have been deemed to be an offer. If the client had responded saying that they accepted our offer, we may have been obliged to provide them with our services for the agreed amount (Architects Legal Pocket Book, pg. 206).

- Luckily for us, the clients in their reply insisted that they would only pay upon practical completion, and that fees were to be capped at 20%. This means that this is in effect a counter offer, that we are permitted to reject. This, according to the precedent set by *Hyde v Wrench*, renders our original offer null and void (Architects Legal Pocket Book, pg. 206).

Recovering fee for the work already done

- From what I understand, we were commissioned to prepare a sketch scheme for the property by a previous owner. Because we were never paid for the work, I believe that we still own the copyright to the drawings in full.
- I think that there is an opportunity for us to recoup some of our losses that we have made so far on this project. In terms of the work in stages A-B that we have already done, I don't think that we can ask Paddy Cell for more money than we originally invoiced Ova Developments. This would appear opportunist and unprofessional.
- If we have already prepared the planning permission which is due to be submitted next week, and we are yet to receive payment for any work, I suggest that we ask the client to pay us for the rate that Sven originally suggested – costs + 25%. I don't know when Sven sent the email where he offered this, but it looks as though both parties were operating under the impression that this was the agreement, until we heard from Paddy that he intended us to cap our fee at £20,000. I think therefore that it is fair for us to request the cost + 25% (£5000) for the work we have carried out, in addition to the £2000 that we are owed from the previous feasibility report (if that was not included in your figure of £4000 costs mentioned in the memo).
- Should the client refuse to pay us then I think we need to stay strong and withhold the work that we have done for them. After all, until we have received payment for the planning application work and the sketch design work, we have no obligation to hand it over to them as we own it. I understand that you may feel uncomfortable about alienating a potential client, but if it transpires that they are the type of client who tries to avoid paying us, I would suggest that we may be better off without them.

- I do not know what Sven has been promising them, but there is a good chance that their expectations have been raised too high and they could be disappointed that we are “backing out” of the scheme. Hopefully, they will agree to pay us for the work done and we can agree to go our separate ways for this project. This would leave the door open for them to use us for work in the future, perhaps when they can afford to pay us adequately for our full architectural design services A-L

General recommendations

- I do not know what the relationship between Sven and the client is, but I hope I am not speaking out of line when I say that things do not appear to have been done by the book in this instance. I am sure Sven thought that he was acting in the best interests of NDG, but his actions could have ended up being very costly for the company
- In future I would suggest that a new rule is made that no one in the office is allowed to discuss fees with clients, without the approval of Belinda or yourself. This will ensure that miscommunications of this nature do not occur again.
- How did we spend £4000 preparing a planning application that you did not even know about? I know how busy you have been James, but surely you will agree a managing director of a practice this size should have been involved in something like this to some extent. Again, I hope you do not think I am speaking out of line, but I think we as a practice may need to review our quality assurance systems to ensure that something like this does not happen again.

Interoffice memo

Date: 6th September 2012
To: Belinda Carter
Cc:
From: xxxxxxxxxxxxxxxxx
Re: Shop Development, Lofty lane (PC3)

Immediate action:

If there is an immediate danger on site, it is the responsibility of the principle contractor to immediately halt works on site. This responsibility is clearly stated in the approved code of practice under Construction (design management) regulations 2007.

We now need to ask a structural engineer and possibly the party wall surveyor to go to site and inspect the damage done to the neighbours building. If there is deemed to be structural defect in the building, it needs to be addressed immediately.

It is important that we as architects take something of a back seat at this stage. It is imperative that we are not seen to be giving advice on matters beyond our expertise. On the advice of the engineers and party wall surveyors, we will issue an AI ordering works on site to be postponed pending further notice (JCT SBC/Q 2011, clause 3.15), if this is deemed to be necessary.

As the CA, we should contact the client and explain to them what is going on and where possible explain to them the possible implications. This will be a very stressful time for them and we need to ensure that we communicate with them clearly to ensure they understand what is going on. Either the client, or us, or both need to make contact with the neighbour who will probably be very angry and upset about the damage to their property and their subsequent loss of trade. We need to try and establish a good line of communication between all parties to try and keep everyone involved calm.

Informing the insurers:

I also think that it would be prudent for the contractor and employer to contact their insurance companies. It is worth noting that the joint names policy that the employer and contractor will have entered into (either Option A, B, or C – see schedule 3 of the JCT SBC), will NOT cover the damage to third parties caused by the works. This will hopefully be covered Public Liability Insurance held by the party that is at fault. We should contact our PLI insurers and inform them of what is going on, just to be on the safe side.

Party Wall:

We need to establish whether or not the party wall issues surrounding this case were correctly handled. Obviously we had a party wall surveyor advise us on this job, so we need to find proof that he either:

- Decided that the works were far enough from the neighbouring property that there was no need for a party wall notice to be served before works commenced.

- He decided that we needed to issue a party structure notice or a notice of adjacent excavation.
- If a dispute did arise between the two land owners, do we have evidence of the verdict of the independent surveyors who were brought in to settle this dispute?
- We need to gather all the documents that form the party wall award to determine what was agreed. These documents should include:
 - o Drawings
 - o A schedule of conditions (an inventory. This could be vital in deciding whether or not the building works have affected the neighbouring building.)
 - o Working details
 - o Method statement describing how works are to be carried out

It is worth noting that usually the party carrying out the works will owe damages to the neighbouring party should the works cause damages to their property:

11. 8 Where the building owner is required to make good damage under this Act the adjoining owner has a right to require that the expenses of such making good be determined in accordance with section 10 and paid to him in lieu of the carrying out of work to make the damage good. (party wall act 1996)

The party wall surveyors from both sides, along with the structural engineer should have agreed upon a design and excavation method for the foundations of the building that did not threaten to damage the neighbouring property.

I would suggest that the structural engineer takes the lead in gathering all the evidence that this agreement was reached and that the design he included in the tender documents was approved by all party wall surveyors involved.

Liability:

There are several potential parties who could be liable for the damage to the property;

- Employer – Ultimately it is the employer's responsibility to gain a party wall award. If they failed to do so, they could be liable for damages. Even if they did go through the correct channels, it is highly likely that they will be pursued for the damages to the neighbour's property. They may wish to pursue any of the people below to recoup the money that they owe to the neighbour, if they feel they have been negligent in any way.
- Architect – although we are not directly responsible for obtaining a party wall award, we may be found to have neglected our duty to advise or warn if we failed to tell our client that this was necessary.
- Structural engineer – They may be responsible for failing to identify the dangers of excavation or general works during the construction process. They may have to prove that they considered the risk to the adjoining properties when they were designing the foundations or other relevant parts of the structure. If it is found that the works were carried out in accordance with their design, they could be negligent.

- Part wall Surveyor(s) – if they were appointed and erroneously advised the client that there was no need for a party wall notice to be served, they could be guilty of negligence and face legal action from the employer to recover damages they owe to the neighbour. If they have agreed, approved or contributed to the design of the foundations or excavations they may be implicated should the design/method be found to be at fault
- Contractor – If the contractor is found to have been not working in accordance with the contract documents and/or the party wall award documents, or if they are deemed to have been negligent in their working practices, they could be pursued for damages. Furthermore, it is not uncommon for a structural engineer to provide an outline design for the groundworks, before handing over detailed design responsibility to a contractor or more likely still, a specialist sub-contractor. It may be that it is their design that was at fault and therefore their liability for the damage to the neighbour's property. It is worth noting that the structural engineer will probably have been asked to review the sub-contractors detailed design drawings and approved them, therefore he may still be liable.

Once the site and the neighbour's property has been deemed safe for work to resume by the main contractor and the structural engineer, the architect should instruct work to recommence. There will inevitably be an application for extension of time and loss and expense from the contractor. If the contractor is not found to be at fault, they will have to be granted this extension of time and reasonable loss and expense. This is likely to be highly costly for the employer (these losses will probably be in addition to damages owed to the neighbour) and I would not be surprised if they do not try and recoup their losses with counter claims against consultants.

As contract administrators, we do not have to reach our decision about whether we award extension of time or loss and expense in a hurry. Our duty is to establish all the facts and make a decision as what is fair and just. This can be done in the 12 week window after practical completion if necessary. We need to be confident that we are making the right decision as which ever decision we make could well be contested as the costs involved are likely to be high.

Interoffice memo

Date: 6th September 2012
To: James Nobel
Cc:
From: xxxxxxxxxxxxxxxx
Re: Advice for Hope - draft (PC4)

Hi Hope,

Been a long time! Congratulation on the leisure centre shortlist, that is fantastic news. Great to hear that things are going so well for you.

James forwarded me the email that he sent to you regarding the best way to move forward should you win.

I have some additional comments to elaborate on James':

If you do win this project, you may well face real difficulty in convincing the client to allow you to carry out the job on your own. This is an enormous job for a part 2/newly qualified group of architects to take on and I would expect that a risk-adverse client will want assurances (i.e. a proven track record) that job is in capable hands. Leisure centres are a notoriously problematic building type. Off the top of my head I can recall at least two well-known, establish practices that have been sued over the inadequate design of swimming pools in particular. Grimshaw's Bath Spa and Hodder's Clissold leisure centre both ended up in court due to leaks and steam/condensation damage. The point I am trying to make is that the PII that would be required for a £10 million leisure centre would be extremely expensive. What's more, it is unlikely that any insurance firm would offer you the PII cover due to your inexperience, even if you could afford the sky-high premiums.

Therefore I would suggest that you may be forced to consider other options. If you are adamant that you would want to set up your own firm on the back of this job, that is certainly an option, but you may have to accept that you will have to partner another, more established firm to carry out the job. If you do decide to do this, there are several things that you need to consider:

- As I have already mentioned, any employer for a project of this size will require the architect to have adequate PI insurance, not to mention some experience of delivering a project of this size. You

- are going to have to accept that you are going to have to relinquish a sizable chunk of design responsibility and control to a larger firm. When negotiating with potential partners, you must understand that your new firm will be expected to become the junior partner in the relationship. After all, it is the larger, established firm who will be taking all the risk, and frankly it will be they who will be leading the detailed/technical design, on account of your lack of experience. The cost of their PII alone will mean that they will need a large percentage of the fee to make it worth their while.
- You will also have to consider the types of organisation that you would like to form for this collaboration. Here are some options:
 - Partnership
 - This can be a good form of practice structure for a one-off project as it can be formed and disbanded easily and quickly
 - In terms of taxation, the rates are lower than other forms of practice
 - The major problem for the other party is that the partners are jointly and severally liable, meaning that they may find themselves to be accountable for the errors of newly graduated part II student
 - Limited liability company
 - Limited liability means that creditors cannot go after individual directors to recover costs
 - The downsides are that the company can take a long time to dissolve – might not be very useful for the purpose of a one-off project
 - Many formalities associated with running the company (AGM, companies house)
 - Directors charged income tax which would be far higher than corporation tax used to tax partnerships
 - Limited liability partnerships
 - Flexibility and tax status of partnerships without the burden of joint and several liability
 - Could be a good option for you
 - Group practice
 - This allows practices to group together for their mutual benefit while retaining a degree of independence
 - No joint responsibility to client
 - Do not share profits

- These two points could make it attractive to the larger partner
- There is a specific form of company designed for companies to collaborate on a single project. This is similar in law to a partnership (Speaight, 2010, pg.301)
- This could offer the best option for both parties – your new practice is able to retain a degree of autonomy while the larger, established practice can protect itself from the risk of working with a junior firm.

Another option that might entertain is you could bring this project into an existing firm. In exchange for “giving” the project to a larger practice (with the consent of the employer obviously) you could use the project as leverage to negotiate a good salary and perhaps higher position within the organisation (junior associate perhaps?).

I hope that this has given you some more food for thought. Good luck with the competition and let us know how you get on.

Interoffice memo

Date: 6th September 2012
To: James Nobel
Cc:
From: xxxxxxxxxxxxxxxx
Re: Office Development for Serve it Right (PC5)

James,

Oh dear, this a bit of a disaster. But don't worry, this isn't half as bad as it could have been for our client.

In the letter we have received, the contractor claims that not only are they due an extension of time for the delay that will result from the accident, they are also owed loss and expense to cover the cost of replacing the cladding. As I have informed them in the letter, I have consulted the SBC and I don't think that they have a leg to stand on (see clause 2.25).

As I make clear in the letter to them, it is the contractors responsibility to replace them, at their own cost. Therefor I have informed them that their request for extension of time and loss and expense will be rejected.

But of course we still have a problem. The client was expecting to move in 6 weeks. The delay on the job is likely to be in excess of 10 weeks if we instruct the contractor to reorder the cladding and install it as per the contract documents.

The client will of course be claiming LADs this whole time, but that might not necessarily be the best option for them. Although LADs are supposed to be an accurate estimation of how much a delay to finishing the job will cost, it is not always so accurate. Also, there is a good possibility that there are other considerations other than money that means they need to move in as close to the completion date as possible.

The client has a number of options which I have explained to them in a letter. She is also very angry at us for what she perceives to be our obsession with wanting to win awards.

Her threat to withhold fee is worrying. I am confident that we are not to blame for this situation. After all, we made it very clear to the client where the materials would be manufactured and the length of the lead-in time. They agreed to use this material despite this and therefore, I feel we have exercised our due care and diligence.

If she wishes us to continue working on the project, she does not have the right to halt our payments at such short notice. The correct procedure would be for her to pay us as agreed, and then pursue us for damages at a later date

The client is well within their right to cancel our appointment, with 7 days notice, for any reason (RIBA SFA 2010, clause 10.1). However, she should understand that if this happens, we are under

Question 10

NDG Architects Ltd

no obligation to continue carrying out any further work for her, unless we have already received payment for it.

I decided that rather than try to tackle this issue in the letter which could come across as antagonistic (or even litigious), I would arrange a meeting with her to discuss the issues face to face. We have previously enjoyed a good relationship with Anne and I am sure that when she has cooled off and we explain the situation in more detail, we will be able to reason with her.

NDG Architects Ltd

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5th September 2012

Nubuild Ltd,
Cavendish House,
Wayward Street,
Southwich
SU7 4EW

For the attention of: **NUBUILD Ltd**

RE: Office Development, Madchester

Dear Sirs,

This letter is in response to correspondence received 3rd September 2012

In this letter, you claim that the responsibility for the cladding system that was damaged in the crash was that of the client, and consequently, you feel that you are due 6 weeks extension of time and loss and expense to cover the cost of repurchasing the cladding system.

May I refer you to JCT SBC 11, clause 2.25 which clearly states:

"Where the value of any listed item has in accordance with clause 4.17 been included in any interim certificate under which the amount properly due to the contractor has been paid by the employer, those items shall become the employer's property and thereafter the contractor shall not, except for the use upon the works, remove or cause or permit them to be moved or removed from the premises where they are. The contractor will be responsible for any loss of or damage to them and for the cost of their storage, handling and insurance until they are delivered to and placed on or adjacent to the works."

Despite the fact that they were a named supplier, and despite that fact that the material has already been paid for and therefore belongs to the employer, this clause clearly states that the materials are the contractor's responsibility until they arrive on site.

Question 10

I therefore will reject your claims for an extension of time and loss and expense. The completion date for the project will not be altered and you will be liable for LADs for any period between this date and practical completion.

The client is yet to make a decision as to what their preferred course of action is to be. We will issue you an Architect's Instruction once a decision has been reached.

Yours faithfully,

XXXXXXXXXXXXXXXXXX

For and on behalf of

NDG Architects Ltd

NDG Architects Ltd

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5th September 2012

Serve IT Right,
47-49 Wood Street,
Madchester
WA4 9QP

For the attention of: **Mrs. Ann Nand**

RE: New Offices, Madchester

Dear Mrs. Nand,

First of all, let me express my disappointment at the news that we received on 3rd September. It is incredibly unfortunate for such a disaster to strike when we are so close to practical completion.

The cladding system that we chose was not done so with the specific intention to win awards, but rather to improve the quality of the design and to satisfy the aspirations of the planners to ensure that we were granted planning permission. I must point out that you did agree to the use of this material, even though you understood that the product would be manufactured abroad. There is always an inherent risk in the transportation of any building materials. Obviously the chance that accidents will occur is unavoidable.

A provision must always be made for the possibility of delays, which is why a liquidated ascertained damages (LADs) sum has been entered into the JCT SBC 11 contract. This figure should have been calculated to accurately compensate you for the delays, should they occur.

You will be pleased to learn that under the terms of the contract, I am satisfied that the liability for replacing the damaged goods lies entirely with the contractor. Therefore, you will receive LADs for the additional weeks that the contract over runs.

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However, I am aware that money is not the only consideration here. Time could be more important to you for a number of reasons and so there are a number of options that you could take at this point:

- Make the contractor complete the job as per the contract documents and collect your full entitlement to LADs
 - o This is something that you are fully entitled to, but it could well mean delays in access of 10 weeks. You need to assess whether or not the LADs stated in the contract are adequate to truly compensate you for such a lengthy delay
- Make the contractor complete the job as per the contract documents and take partial possession of a part of the site.
 - o This will allow you to begin to move in sooner. This however will require us to issue a notice of partial possession for the part of the site that is being occupied by yourselves, meaning that you would no longer be able to claim LADs for that portion (clause 2.37)
- We could design a new cladding system with a shorter lead time.
 - o This could allow the job to reach practical completion earlier. we may need to negotiate the contract sum down with the contractor to ensure that the you are only paying for what you are getting. As this will be a material change to our planning approval, any new cladding system would need to be approved by the planners. There will also be additional consultancy fees to factor into this equation that you should take into consideration when making your decision.

I understand your frustration at this unfortunate turn of events, but I feel that you may be unfairly apportioning blame to us. I would like to suggest that we meet as soon as possible to discuss this matter thoroughly and decide how best to move forward.

Please let me know when would be a convenient time for you. I am flexible and will make this my top priority.

Yours faithfully,

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For and on behalf of

NDG Architects Ltd